

SENATE No. 721

The Commonwealth of Massachusetts

PRESENTED BY:

Sal N. DiDomenico

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to investments by entities of the Commonwealth.

PETITION OF:

NAME:

Sal N. DiDomenico

DISTRICT/ADDRESS:

Middlesex and Suffolk

SENATE No. 721

By Mr. DiDomenico, a petition (accompanied by bill, Senate, No. 721) of Sal N. DiDomenico for legislation relative to investments by entities of the Commonwealth. Financial Services.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to investments by entities of the Commonwealth.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 Section 23 of chapter 32 of the general laws, as appearing in the 2022 Official Edition is
2 hereby amended in subsection 2 (c)(g) by inserting after (iii), the following new paragraph:-

3 (iv) subsequent to the date of such determination no new investment of funds shall be
4 made in any bank or financial institution which directly or through any subsidiary has
5 outstanding loans to any individual corporation engaged in a private equity (PE) firm, as defined
6 in section 17 of this act, or real estate investment trust (REIT), as defined in section 11 of this
7 act, which owns, in who or in part, or invests in skilled nursing facilities or hospices, and no new
8 investment of funds shall be made in the stocks, securities or other obligations of any company
9 so engaged. In making such determination the commission shall consider the diversification of
10 the risk of the investments of such board, the return on the investments of such board, the past
11 performance of the investment portfolio of such board and the extent and quality of professional
12 advice received by such board regarding the investment of funds. Any such board shall invest
13 and reinvest consistent with sound investment policy and the requirements of subdivision (3).

14 As used in this act, a “skilled nursing facility” (SNF) means a facility, or unit, which is
15 licensed by the state to provide skilled nursing care and related services for patients who require
16 medical and skilled nursing care or skilled rehabilitation services for the treatment of an injury,
17 disability, or illness, and a “hospice” means a public agency or private organization or a
18 subdivision of either that is providing care to terminally ill individuals and meets the Medicare
19 conditions of participation specified in 42 CFR 418.52 through 418.116 for hospices. “Private
20 Equity Firm (PE)”, as used in this act, refers to a financing approach where companies acquire
21 funds from firms or accredited investors instead of stock markets, as specified in 12 CFR s
22 1500.4. “Real Estate Investment Trust (REIT),” as used in this act, means a company that owns,
23 operates, or finances income-generating real estate as specified in 26 CFR s 1.856-1.